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SULIMAN S. OLAYAN SCHOOL
OF BUSINESS





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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 6 – Organizational Structure

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut





ELEMENTS OF ORGANIZATIONAL DESIGN

- **Organizing:** management function that involves arranging and structuring work to accomplish the organization's goals
- **Organizational structure:** the formal arrangement of jobs within an organization
- **Organizational chart:** the visual representation of an organization's structure
- **Organizational design:** creating or changing an organization's structure



PURPOSES OF ORGANIZING

- Divides work to be done into specific jobs and departments.
- Assigns tasks and responsibilities associated with individual jobs.
- Coordinates diverse organizational tasks.
- Clusters jobs into units.
- Establishes relationships among individuals, groups, and departments. Establishes formal lines of authority.
- Allocates and deploys organizational resources.



WORK SPECIALIZATION

Work specialization: dividing work activities into separate job tasks

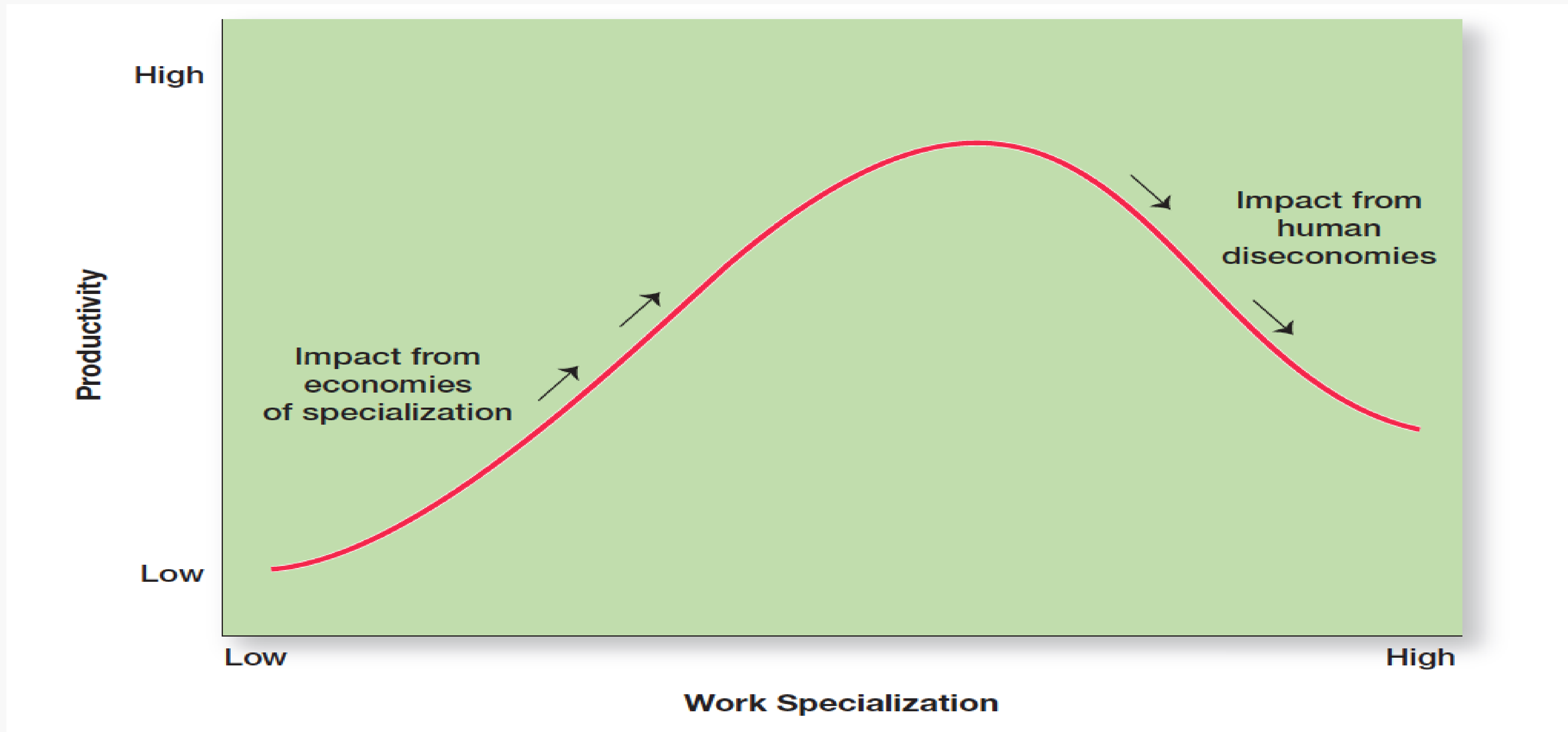
- Also known as division of labor

The essence of work specialization is to divide a job into several steps, each completed by a separate individual

- Work specialization makes efficient use of the diversity of skills that workers have



ECONOMIES AND DISECONOMIES OF WORK SPECIALIZATION





DEPARTMENTALIZATION

Departmentalization: the basis by which jobs are grouped together

There are five forms of departmentalization:

1. Functional departmentalization
2. Geographical departmentalization
3. Product departmentalization
4. Process departmentalization
5. Customer departmentalization



CHAIN OF COMMAND

Chain of command: the line of authority extending from upper organizational levels to the lowest levels, which clarifies who reports to whom



AUTHORITY

- **Authority:** the line of authority extending from upper organizational levels to the lowest levels, which clarifies who reports to whom
- **Line authority:** authority that entitles a manager to direct the work of an employee
- **Staff authority:** positions with some authority that have been created to support, assist, and advise those holding line authority



RESPONSIBILITY

- **Responsibility:** the obligation or expectation to perform any assigned duties
- **Unity of command:** the management principle that each person should report to only one manager



SPAN OF CONTROL

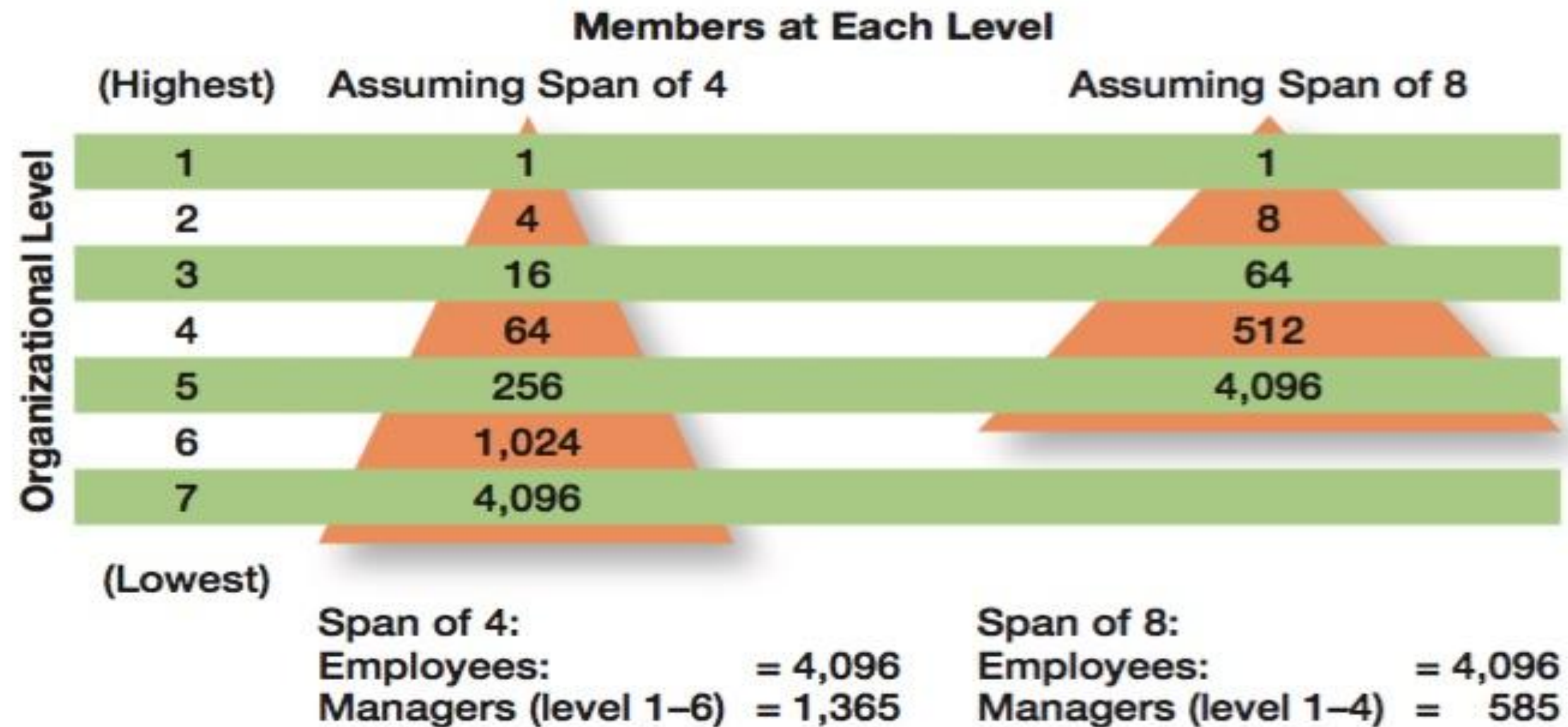
Span of control: the number of employees a manager can efficiently and effectively manage

The traditional view was that managers should not supervise more than 5 or 6 employees

The contemporary view of span of control recognizes there is no magic number.



CONTRASTING SPANS OF CONTROLS





CENTRALIZATION AND DECENTRALIZATION

- **Centralization:** the degree to which decision making is concentrated at upper levels of the organization
- **Decentralization:** the degree to which lower-level employees provide input or actually make decisions



CENTRALIZATION OR DECENTRALIZATION

More Centralization	More Decentralization
Environment is stable.	Environment is complex, uncertain.
Lower-level managers are not as capable or experienced at making decisions as upper-level managers.	Lower-level managers are capable and experienced at making decisions.
Lower-level managers do not want a say in decisions.	Lower-level managers want a voice in decisions.
Decisions are relatively minor.	Decisions are significant.
Organization is facing a crisis or the risk of company failure.	Corporate culture is open to allowing managers a say in what happens.
Company is large.	Company is geographically dispersed.
Effective implementation of company strategies depends on managers retaining say over what happens.	Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions.



FORMALIZATION

Formalization: how standardized an organization's jobs are and the extent to which employee behavior is guided by rules and procedures

Traditional management favored high formalization but today's view is to give employees more discretion



MECHANISTIC VERSUS ORGANIC ORGANIZATIONS

Mechanistic

High specialization
Rigid departmentalization
Clear chain of command
Narrow spans of control
Centralization
High formalization

Organic

Cross-functional teams
Cross-hierarchical teams
Free flow of information
Wide spans of control
Decentralization
Low formalization



STRATEGY AND STRUCTURE

- An organization's structure should facilitate goal achievement. Because goals are an important part of the organization's strategies, it's only logical that strategy and structure are closely linked
- Research has shown that certain structural designs work best with different organizational strategies



SIZE AND STRUCTURE

- There's considerable evidence that an organization's size affects its structure, but once an organization grows past a certain size, size has less influence on structure
- Once there are around 2,000 employees, it's already fairly mechanistic. Adding another 500 employees won't impact the structure much

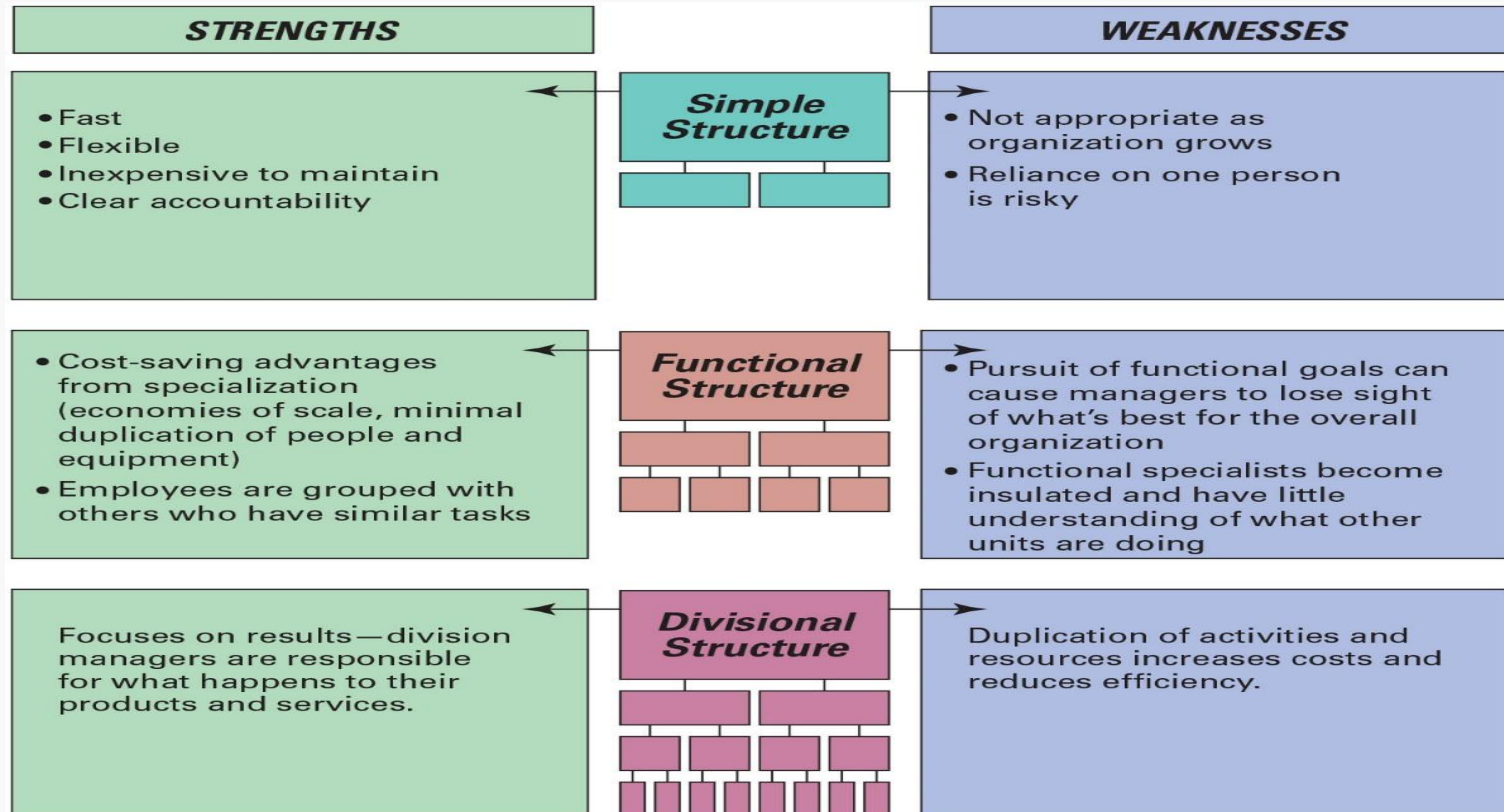


ENVIRONMENTAL UNCERTAINTY AND STRUCTURE

- In stable and simple environments, mechanistic designs can be more effective.
- The greater the uncertainty, the more an organization needs the flexibility of an organic design.



TRADITIONAL ORGANIZATIONAL DESIGNS





MATRIX AND PROJECT STRUCTURES

Matrix structure: an organizational structure that assigns specialists from different functional departments to work on one or more projects

Project structure: an organizational structure in which employees continuously work on projects

THANK YOU



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